The Sydney Morning Herald

OPINION

Far from bouncing back, China's economy may be shrinking



Peter Hartcher

Political and international editor for The Sydney Morning Herald

March 17, 2020 — 12.00am

March 17, 2020 — 12.00am

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102 View all comments

The world watched somewhat smugly as China descended into grim shutdown to defeat the virus. Now the world is watching anxiously as it recovers.

China was the main locomotive of growth in the world economy over the past decade. As the globe heads into recession, governments worldwide hope that the Middle Kingdom Express will soon return to normal and pull the world out of it.

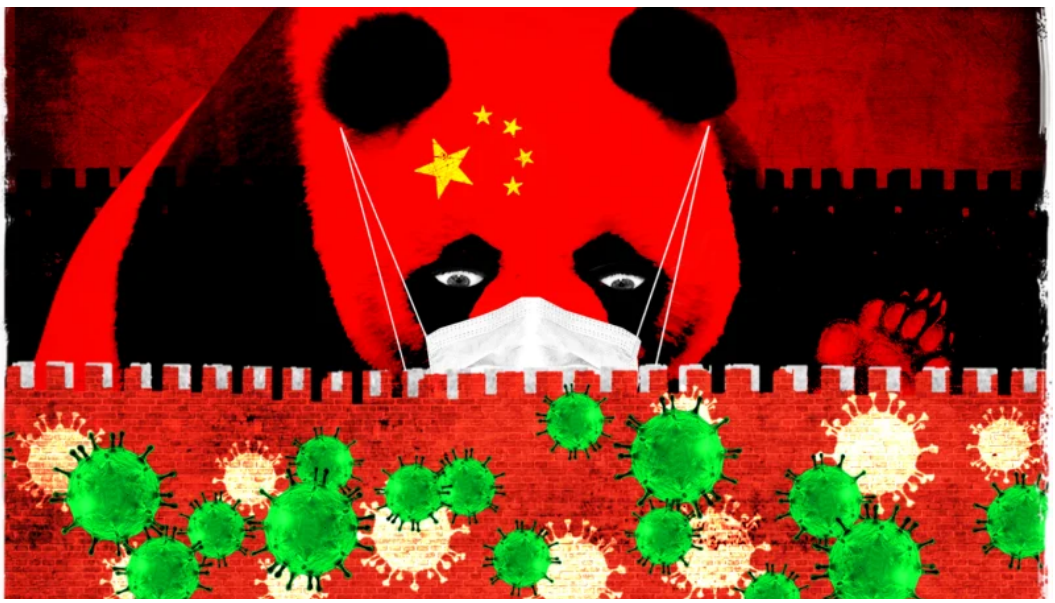


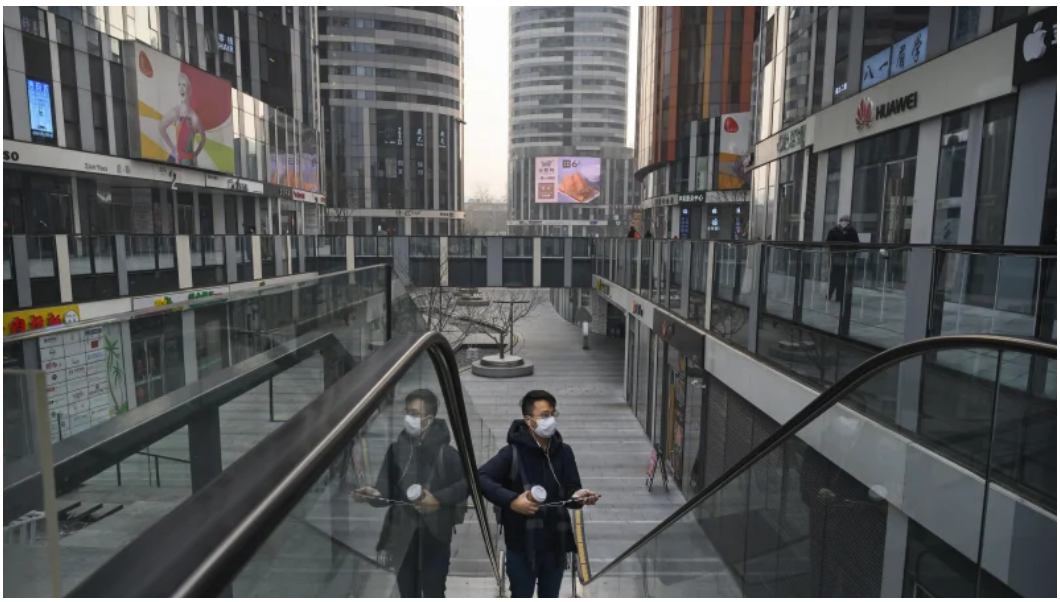
Illustration: Dionne Gain

But will it? And, if so, when? Forget the official rhetoric from Beijing. No experienced China watcher takes that seriously. So a widely followed American Sinologist, Bill Bishop, author of the *Sinocism* newsletter, has set a threefold test. Beijing will actually believe that it has overcome the virus and is returning to normal when these three things happen, according to Bishop: One, President Xi Jinping visits virus central, the city of Wuhan. Two, the schools reopen. Three, the government announces the dates for the annual "twin sessions" of China's political elites, the National People's Congress and the Chinese People's Political Consultative Committee.

The first test was met last week. Xi visited Wuhan. He didn't exactly go on a street walk to greet his grateful people. Official media said that he greeted patients and health workers. But TV footage showed otherwise. Xi stood in a big, bare room at a command centre waving to patients over a video link. Even then he was wearing a 3M N95 face mask, an upgrade on the basic surgical mask he's worn in Beijing recently. Test two? There are signs that some parts of China are preparing to reopen schools, but this is not yet a clear "yes". And there's no sign of dates for the twin sessions.

"I like the indicators," says the director of the East Asian Institute at the National University of Singapore, Bert Hofman. He expects that China will set the twin sessions for April. "Beijing probably reads Bill Bishop as well so they know it's a very important signal that things are back to normal."

In the meantime, economists are trying to make other efforts to get behind the facade of official optimism. The government says that the big state-owned enterprises that dominate the Chinese economy are back to over 90 per cent of normal output. Mainland China's share market has been much less apocalyptic in recent weeks than other major markets around the world.



Are Chinese consumers coming back? GETTY IMAGES

But these are not reliable indicators. There are reports out of China that factory managers are faking resumption statistics in some cases. The Chinese business reporting service Caixin reported on March 4: "Local companies and officials are

fraudulently boosting electricity consumption and other metrics in order to meet tough new back-to-work targets as the spread of COVID-19 in China wanes.

"Local governments in less-affected regions pushed companies and factories to return to work, typically by assigning concrete targets to district officials. Company insiders and local civil servants told Caixin that, under pressure to fulfil quotas they could not otherwise meet, they deftly cooked the books."

For example, staff turn on the lights and factory machinery. When supervisors in Beijing or provincial capitals check up by looking at the electricity consumption figures, they see what they want to see – power use is humming, even though the factories are not producing accordingly.

And the share markets have been boosted artificially by state-owned enterprises stepping into the bourses and buying shares on orders from Beijing. The economic speedometers are rigged, in other words.

So various economy-watchers have tried to compile independent indexes to measure of activity. For example, China International Capital Corporation puts together figures on coal consumption, freight movements, worker migration and transport use, among other things. It calculates that the economy is more than 70 per cent on its way back to recovery.

Australia's Reserve Bank has its own index. Its researchers look at measures including air quality, traffic congestion and coal consumption. It estimated last week that the Chinese economy was about halfway back from its lowest point to normal levels of activity in a very gradual recovery.

To get street-level detail, a new Sydney-based asset management firm is paying people in China to film city scenes that might indicate levels of activity. "I'm trying to read every piece of economic and consumption data from every source," says Conduit Capital founder Jack Dwyer, "and marry that with how people are living their lives on the ground". His sources send him daily footage from inside shopping malls, passenger trains and main roads, among other scenes, from China's main cities.

The footage shows near-empty malls and subways. Each shopper's forehead is checked for fever before he or she is admitted to a store. Dwyer, formerly at Soros Fund Management, concludes: "It's very quiet and most people are working from home and not spending money."

He sees a bifurcated economy – the recovery in the industrial economy may be moving up but that consumers are still hibernating, and personal consumption makes up half the total economy: "We see a slight recovery in Beijing and Shanghai. Overall I think economic activity is worse than the government is suggesting," says Dwyer.

Hofman of the National University of Singapore lays claim to being the first credible economist to declare China's economy to be shrinking: "I came up with strong negative growth for the first quarter while everyone else was positive," he tells me.

Others are now following. How did he do it? By carefully studying the number of days worked across China. By the end of this month, he expects 85 to 90 per cent

of Chinese firms will be back in production. But this is not as happy as it may seem. Hofman, formerly the China country director for the World Bank, doesn't see a strong rebound.



Travellers arriving into Australia have been forced to comply with a 14 day self-quarantine as the coronavirus outbreak escalates.

Many firms will go broke and many people will lose their jobs. And even as China's economy comes back on line, the rest of the world is shutting down, he points out, so can't buy Chinese exports. Beijing's ability to stimulate the economy is constrained by the fact that there is already too much debt.

The net result will be that China cannot meet its goal of 6 per cent economic growth for the year, in Hofman's assessment. He estimates China's 2020 growth at between 2 per cent and 4.5 per cent. This is bad news for China, and unhappy news for a world waiting for its locomotive. No one will be feeling very smug about that.

Peter Hartcher is the international editor.



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